Response to Notice of Warranty Claim; Reservation of Counterclaim

Correspondence | Document ID: **RES-CORR-001**

Date:	3 October 2024
Author/Sender:	Camborne Fitch LLP for the Respondents
Recipient:	Hartley Voss LLP for the Claimant

Camborne Fitch LLP
9 Alderman's Yard
London EC2A 3JR

3 October 2024

Hartley Voss LLP
1 Fenchurch Place
London EC3M 4AJ
For the attention of Fiona Cazenove-Marsh

Our ref: NOP/AH-0087 Your ref: FCM/MH-0142

Dear Sirs,

Share Purchase Agreement dated 14 March 2024 – Response to Purported Notice of Warranty Claim

We act for Julian Ashworth-Hale and Rosalind Ashworth-Hale ("our clients") and refer to your letter dated 12 September 2024.

Our clients do not accept that there has been any breach of Warranty 7.3. The commercial position regarding key account renewals, including the general possibility of non-renewals, was fairly disclosed at paragraph 3.2 of the Disclosure Letter. Further, and in any event, our client Julian Ashworth-Hale gave your client's representative, Mr Vance, an oral update on relevant account management matters during a telephone call on 25 April 2024, prior to Completion.

Without prejudice to the foregoing, we note that your letter dated 12 September 2024 was purportedly served in part by email. We do not accept that email correspondence, without more, constitutes valid service of a notice under Clause 14.2 of the SPA, which does not provide for service by email. We reserve our clients' position in this regard, while noting that a hard copy was in any event also sent by post.

Our clients further reserve the right to raise a counterclaim in respect of the Deferred Consideration (Earn-Out) due under Clause 6.4 of the SPA. On our clients' preliminary analysis, the Buyer has calculated Actual EBITDA for the Earn-Out Period on a basis that improperly includes group overhead allocations not historically borne by the Target, contrary to Clause 6.4(b), resulting in a substantial underpayment of the Earn-Out Payment properly due to our clients.

We invite your client to engage in without prejudice discussions with a view to resolving both matters. Failing agreement, our clients reserve all rights, including to refer any dispute to arbitration under Clause 22.2 of the SPA.

Yours faithfully,

Camborne Fitch LLP